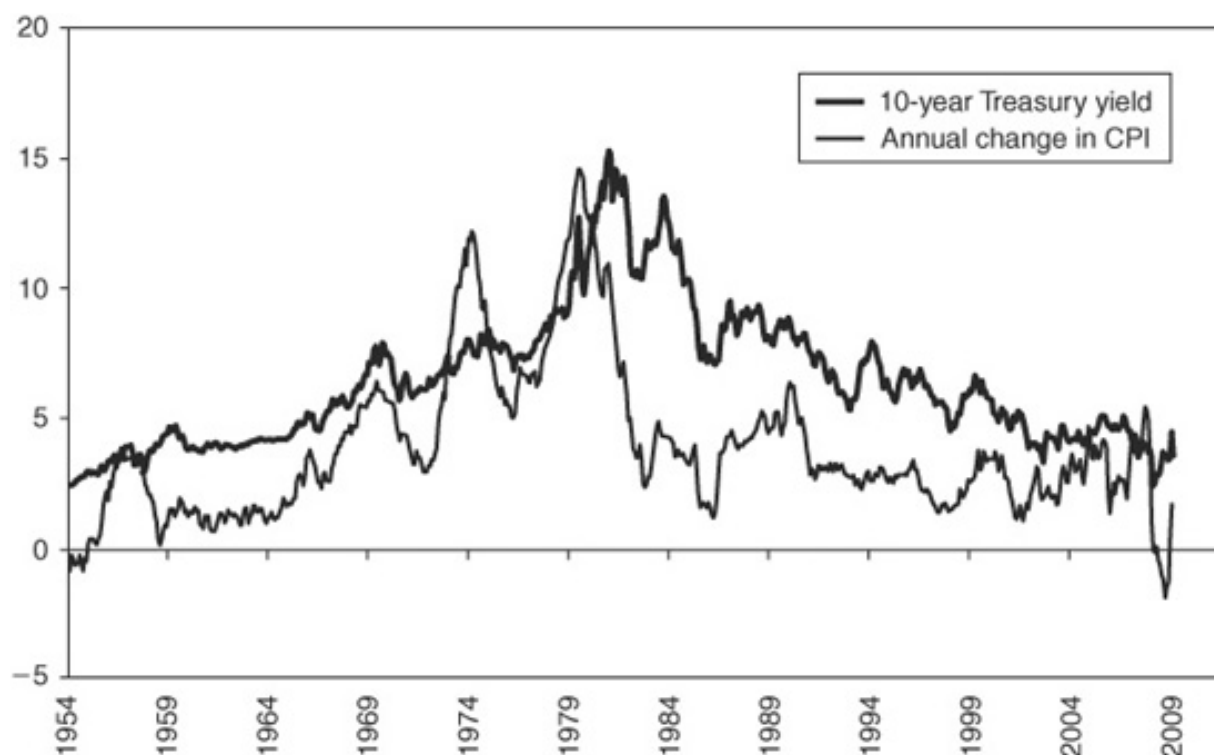




[Figure 11-11](#) highlights the most volatile interest-rate periods in U.S. economic history. From the early 1960s to the early 1980s, inflation soared to 15 percent. That created a huge sell-off in the bond markets. By 1982, inflation had dropped as fast as it accelerated, setting the stage for an historic rally in bonds. However, the rally was slow in developing because investors *anticipated* that the inflation rate would move higher again. But those fears were not justified. Since the early 1980s, inflation has fallen to low double digits, and in 2008 inflation was less than 0 percent, a phenomenon known as *deflation*. As a result, the yield on Treasury bonds hit its lowest level in 60 years.

A third driver of interest rates is a change in the real risk-free rate. The real return is the after-inflation yield of a bond. The easiest way to understand changes in the real risk-free rate is by observing changes in Treasury Inflation-Protected Securities (TIPS). One reason that the spreads on TIPS changes is taxes. As inflation forces interest rates higher, it also adds to the principal value of TIPS. Since more taxes are due in high-inflation periods, the real yield on the bonds must be higher to pay the extra taxes. As we learned in [Chapter 8](#), taxes are due on the total return of Treasury bonds, whether is it from inflation gains or interest.